Practice workbook · Supply-side policy: training, infrastructure and tax cuts

What supply-side policy is and how measures that raise productive capacity work: education and training, infrastructure spending, and lower business or income taxes to encourage investment and work; their effects on productivity, output and unemployment.

18 question parts: 1 worked-example retry and 17 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T21-33

1. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

4 Figure 5 shows the population of Ghana and the number of people employed on small cocoa farms in Ghana in 2024.

	2024
Population	34,532,935
Employed on small cocoa farms	867,000

Figure 5

(a) Calculate, to two decimal places, the **percentage of the population employed** on small cocoa farms in Ghana in 2024. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

In June 2023, the Vice-President of Ghana, Dr Mahamudu Bawumia, agreed to the building of a 31.2 km highway costing $50m. The construction is part of a 67 km highway that would link central areas of Ghana to the northern regions and neighbouring countries.

(b) With reference to the data above and your knowledge of economics, analyse how spending on road infrastructure could benefit a country such as Ghana.

(6)

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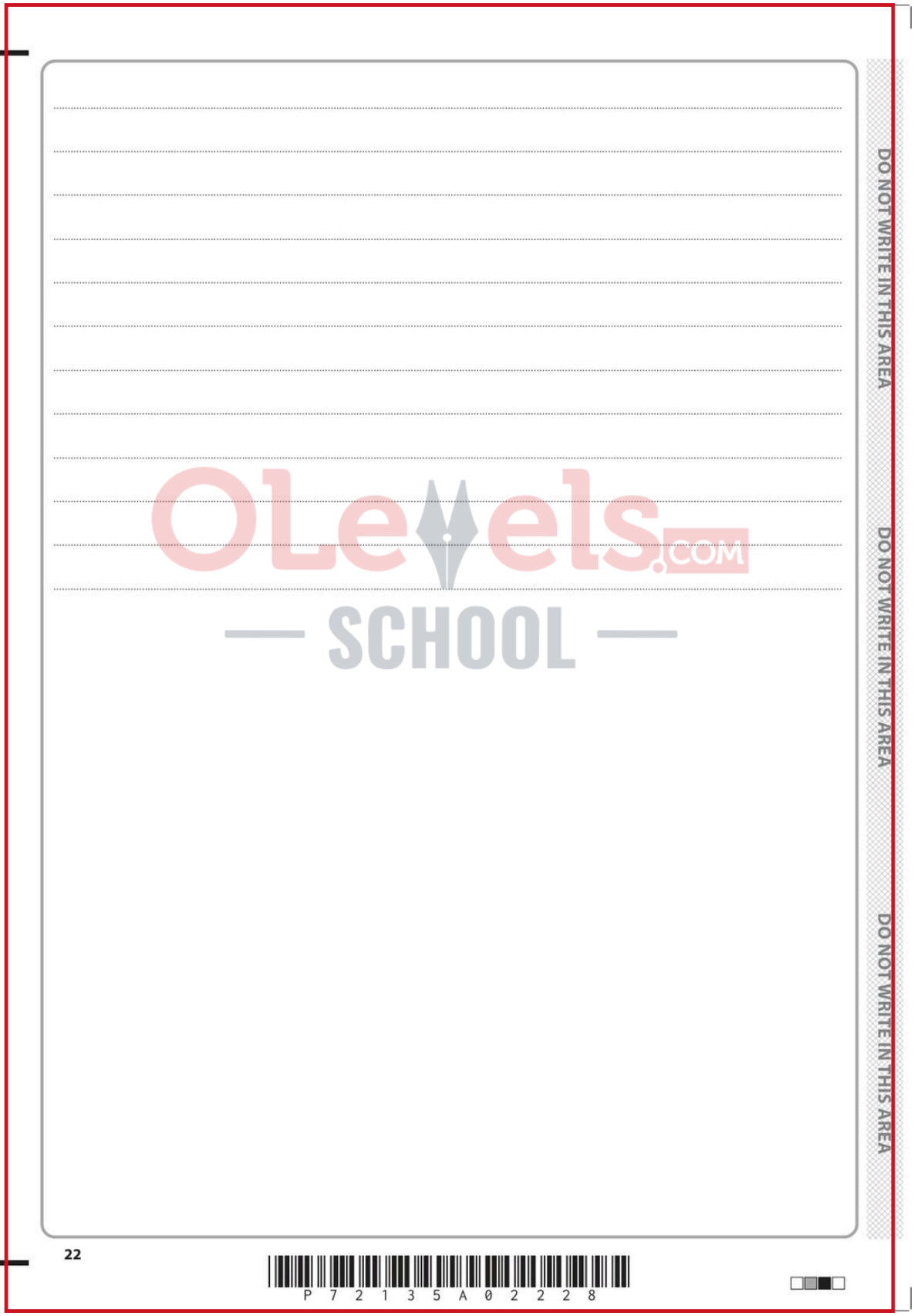
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1. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.



1. Question 4 · part b · 6 marks

2025 JUN · Paper 02 (regional R)

Worked-example retry · Attempt part b only.

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Cocoa is a major ingredient in the manufacture of chocolate products. Ghana is the world's second-largest producer of cocoa, which accounts for 3.5% of gross domestic product (GDP).

Almost all the cocoa is exported, generating more than $2bn annually through foreign exchange. Many people are employed directly in the production of cocoa, with most cocoa grown on small farms.

Oxfam said that 90% of cocoa farmers in Ghana do not earn enough income and cannot afford enough food or other basics such as clothing, housing and medical care. Many of the 867,000 farmers in the country survive on just $2 a day.

Meanwhile, the world's four biggest chocolate producers are enjoying large profits. Hershey, Lindt, Mondelēz and Nestlé have seen their profits increase by 16% in recent years as demand for chocolate products has risen.

(c) With reference to the data above and your knowledge of economics, evaluate the possible benefits of globalisation for cocoa farmers in Ghana.

(12)

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P 7 2 1 3 5 A 0 2 3 2 8

23

Turn over

1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 2 · part d · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

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2 The price of a basket of goods and services used to calculate the Consumer Price Index (CPI) in an economy, rose from €1 250 to €1 300 in one year.

(a) What is the rate of inflation?

(1)

- ☒ **A** 0.96%
- ☒ **B** 1.04%
- ☒ **C** 4%
- ☒ **D** 5%

(b) What is the name of the term used to describe tax on income, wealth and profit?

(1)

- ☒ **A** Direct taxation
- ☒ **B** Value added tax
- ☒ **C** Excise duties
- ☒ **D** Indirect taxation

(c) State **one** way businesses can damage the environment.

(1)

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(d) What is meant by the term supply-side policy?

(2)

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2. Question 2 · part d · 2 marks

2019 JUN · Paper 02

Further practice · Attempt part d only.

In October 2017 the currency of the Philippines, the peso, fell to its lowest level against the US dollar in more than 11 years.

(e) Explain **one** advantage of having a depreciating currency for an economy such as the Philippines.

(3)

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2. Question 2 · part d · 2 marks · Working and answer

Working and answer

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3. Question 4 · part c · 12 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

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4 Figure 2 shows the UK's unemployment rates for 16–64 year olds in different regional areas in December 2018.

UK regions	Unemployment rate (%)
The North of England	4.8
The Midlands	4.6
East England	4.3
London and South East	2.9
South West England	3.0

Figure 2

(Source: https://www.ons.gov.uk/employmentandlabourmarket/peopleinwork/employmentandemployeetypes/bulletins/regionallabourmarket/latest)

(a) Calculate, to **two** decimal places, the **average rate of unemployment** in the UK in December 2018. You are advised to show your working.

(2)

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3. Question 4 · part c · 12 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

(b) With reference to the data in **Figure 2** and your knowledge of economics, analyse **one** possible reason why rates of unemployment vary in the different regional areas of the UK.

(6)

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3. Question 4 · part c · 12 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

A report by accountancy firm PwC said that the UK could boost its GDP by around £40bn a year if it reduces the number of young people who are not in education, employment or training. The UK only ranks 19th out of 35 countries on this latest report, with Germany performing the best in the EU.

John Hawksworth, chief economist at PwC UK, comments, "Employers need to work with universities, schools and other educational providers to ensure young people have the skills they need for the age of automation. They also need to help in retraining older workers to adapt to these new technologies".

(c) With reference to the data above and your knowledge of economics, evaluate whether an increase in education and training is the most effective way to reduce unemployment for a country such as the UK.

(12)

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3. Question 4 · part c · 12 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.

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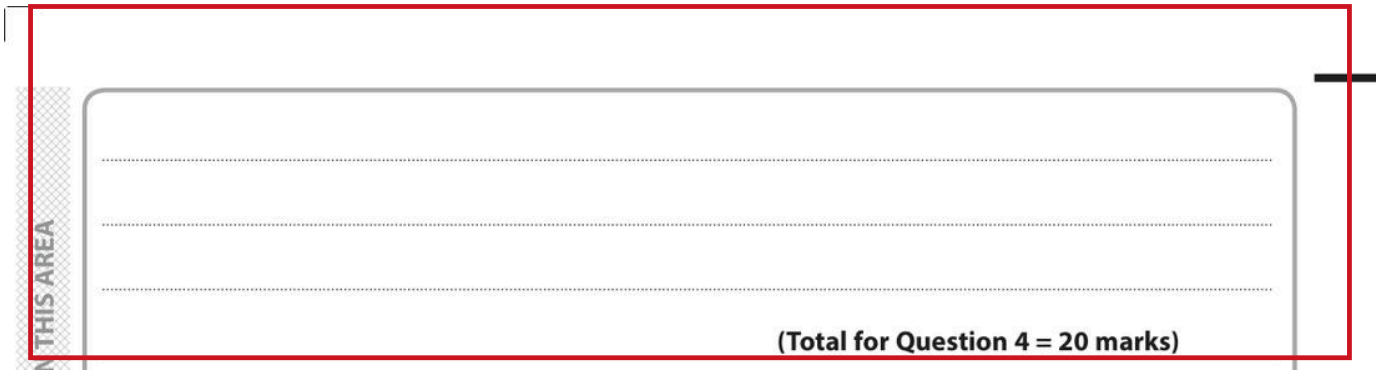
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3. Question 4 · part c · 12 marks

2020 JAN · Paper 02 (regional R)

Further practice · Attempt part c only.



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3. Question 4 · part c · 12 marks · Working and answer

Working and answer

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

2 Figure 2 shows the rates of taxation in the UK in 2018.

Income per year (£)	Tax rate (%)
0 to 11 850	0
11 851 to 46 350	20
46 351 to 150 000	40
150 000 upwards	45

Figure 2

(a) This is an example of what type of taxation system?

(1)

- ☒ **A** Indirect
- ☒ **B** Progressive
- ☒ **C** Regressive
- ☒ **D** Value added

(b) To improve the standard of living, which **one** of the following is a government likely to reduce?

(1)

- ☒ **A** Welfare payments
- ☒ **B** Subsidies for housing
- ☒ **C** Education
- ☒ **D** Indirect taxes

(c) State **one** method of government intervention that should lead to the protection of the environment.

(1)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

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(d) What is meant by the term relative poverty?

(2)

In Manchester, UK, over 350,000 motorists have been issued with parking fines of £30. This gave the local government of Manchester additional revenue of £10.4m in one year.

(e) Explain **one** advantage for a local government, such as Manchester, of issuing parking fines.

(3)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

A recent report estimates 23% of gross domestic product (GDP) in Greece is from revenue that goes unrecorded by the government.

(f) Explain **one** possible reason why a large percentage of Greece's GDP might be unrecorded.

(3)

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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02

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QUESTION 2(g) BEGINS ON PAGE 12

4. Question 2 · part g · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.

A new report from New Zealand Kiwifruit Growers Incorporated showed a serious shortage of seasonal workers. This could slow down the kiwifruit industry's predicted growth. The report showed that the industry will require an additional 7,000 seasonal workers if it is to double in size by 2027. Revenue from the sale of kiwifruits was predicted to increase from NZ$2.1bn in 2017 to NZ$4bn by 2027. At the start of the 2018 season, the industry was short of 1,200 workers with 70% of the crop still to be picked.

(Source adapted from: https://www.nzherald.co.nz/business/news/article.cfm?c_id=3&objectid=12099643)

(g) With reference to the data above and your knowledge of economics, assess the ways a country such as New Zealand could reduce the shortage of seasonal workers.

(9)

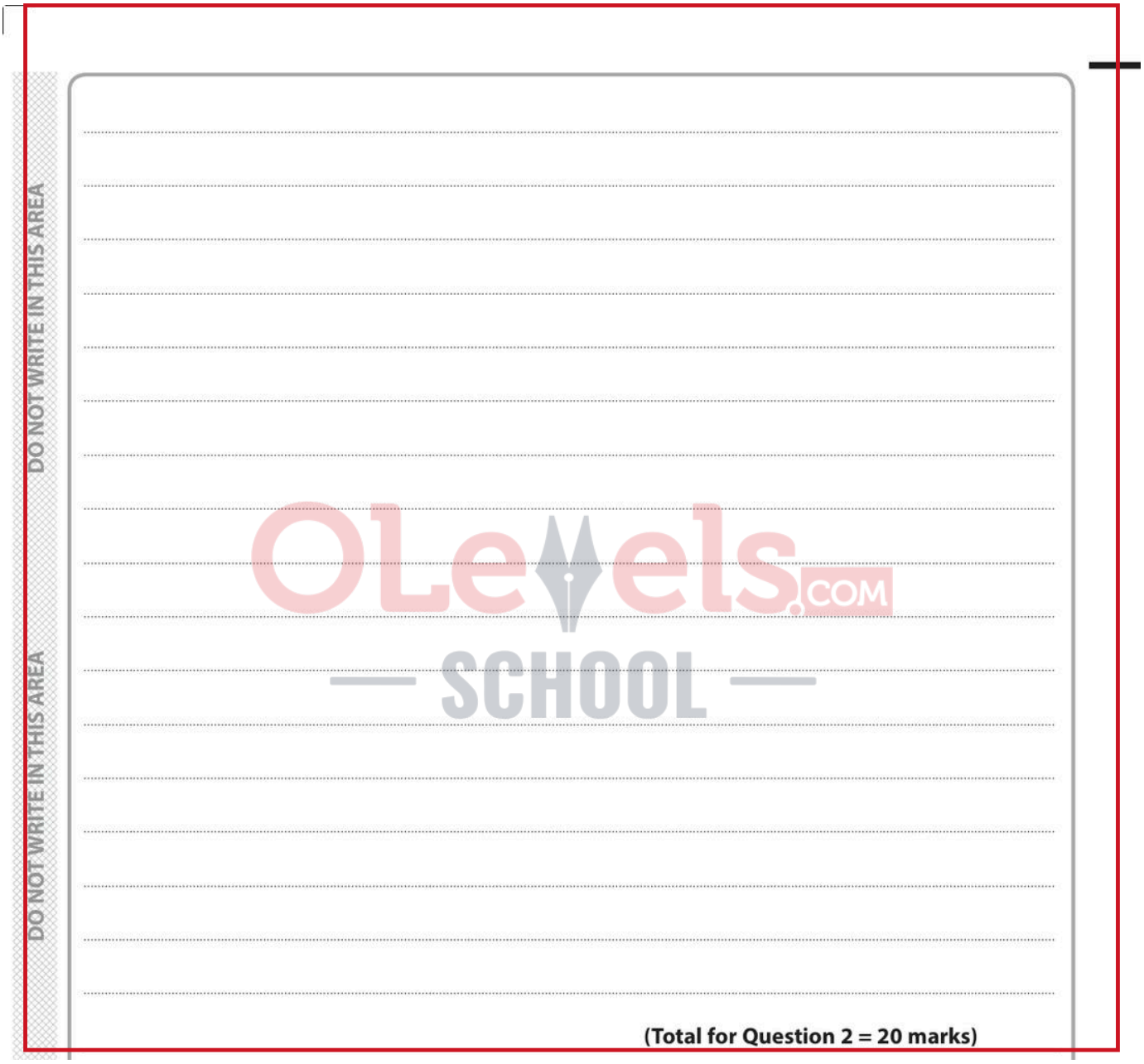
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4. Question 2 · part g · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part g only.



4. Question 2 · part g · 9 marks · Working and answer

Working and answer

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

3 (a) A fiscal surplus occurs when

(1)

- ☒ **A** a country exports more than it imports
- ☒ **B** government revenue is greater than government expenditure
- ☒ **C** a country imports more than it exports
- ☒ **D** government expenditure is greater than government revenue

(b) In an exchange rate system without government intervention, a rise in the exchange rate is known as

(1)

- ☒ **A** appreciation
- ☒ **B** devaluation
- ☒ **C** depreciation
- ☒ **D** revaluation

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

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The rate of inflation in Cyprus decreased from 3.1% in September to 3% in October.

(c) Explain **one** reason why low and stable inflation is a macroeconomic objective for a country such as Cyprus.

(3)

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5. Question 3 · part e · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

In November 2018, the South African Monetary Policy Committee decided to increase interest rates by 0.25% to 6.75%. This decision affected the currency of South Africa, the Rand.

(d) Analyse the likely impact of an increase in interest rates on the currency of South Africa.

(6)

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5. Question 3 · part e · 9 marks

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QUESTION 3(e) BEGINS ON PAGE 18

5. Question 3 · part e · 9 marks

2020 JAN · Paper 02

Further practice · Attempt part e only.

US President Donald Trump introduced lower business taxes in the hope of making the US more competitive globally. In 2017, business taxes in the US were 35% and a new lower rate of 21% was introduced in 2018. Donald Trump has plans to lower this to 15% in the future.

Business tax rates for selected OECD* countries 2018 (%)

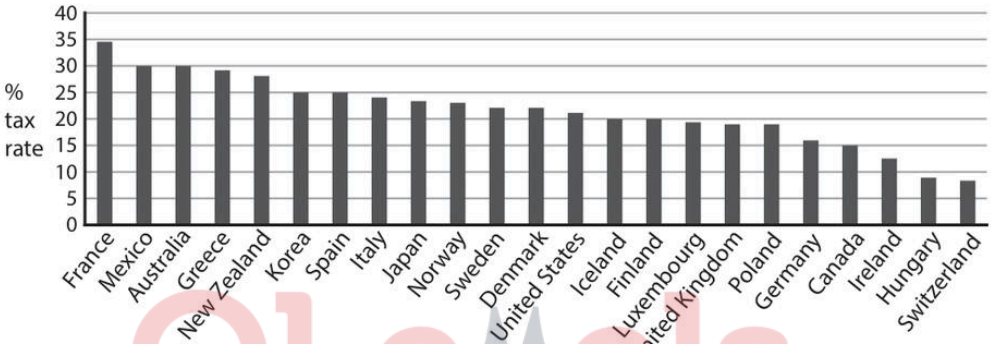


Figure 3

***OECD: Organisation for Economic Cooperation and Development.**

(Source: https://stats.oecd.org/index.aspx?DataSetCode=TABLE_II1)

(e) With reference to the data above and your knowledge of economics, assess the likely effectiveness of lower business taxes in stimulating investment in a country such as the US.

(9)

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5. Question 3 · part e · 9 marks

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Further practice · Attempt part e only.

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(Total for Question 3 = 20 marks)

5. Question 3 · part e · 9 marks · Working and answer

Working and answer

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6. Question 2 · part d · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

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2 In 2018, the Indonesian rupiah depreciated to its lowest levels since 1997 against other major currencies.

(a) This depreciation is likely to have caused

(1)

- ☒ **A** an increase in exports and a decrease in imports
- ☒ **B** a decrease in exports and a decrease in imports
- ☒ **C** an increase in exports and an increase in imports
- ☒ **D** a decrease in exports and an increase in imports

(b) Which of the following is used as a measure of economic growth?

(1)

- ☒ **A** ILO
- ☒ **B** CPI
- ☒ **C** GDP
- ☒ **D** FDI

(c) State **one** reason why a government wants to reduce poverty and inequality.

(1)

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(d) What is meant by the term infrastructure?

(2)

6. Question 2 · part d · 2 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part d only.

In 2018 the average number of job seekers in Germany decreased by 0.5% to 5.2% and was lower than at any time since 1991.

(e) Explain **one** impact of falling unemployment rates on tax revenue for a country such as Germany.

(3)

In December 2018, consumers in the UK were warned to avoid some imported plastic toys because they contained banned chemicals. Many were being sold through online marketplaces.

(f) Explain **one** reason why UK consumers need protecting from some imported goods.

(3)

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6. Question 2 · part d · 2 marks · Working and answer

Working and answer

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7. Question 1 · part b · 1 mark

2021 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following terms refers to a physical limit on the quantity of imported products allowed into a country?

(1)

- ☒ **A** Devaluation
- ☒ **B** Dumping
- ☒ **C** Public good
- ☒ **D** Quota

(b) Which **one** of the following names is given to the government policy that aims to increase the productive capacity of the economy?

(1)

- ☒ **A** Trade
- ☒ **B** Fiscal
- ☒ **C** Supply-side
- ☒ **D** Exchange rate

(c) What is meant by the term downturn?

(2)

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7. Question 1 · part b · 1 mark · Working and answer

Working and answer

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8. Question 2 · part g · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

2 (a) Which **one** of the following means having more of one thing but less of another thing?

(1)

- ☒ **A** Menu costs
- ☒ **B** Trade-off
- ☒ **C** Opportunity cost
- ☒ **D** Trading bloc

(b) Which **one** of the following is a role of a central bank?

(1)

- ☒ **A** Investing in firms
- ☒ **B** Raising taxes
- ☒ **C** Asset purchasing
- ☒ **D** Lending money to individuals

(c) State **one** type of inflation.

(1)

(d) What is meant by the term fiscal surplus?

(2)

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8. Question 2 · part g · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

Indonesia is one of the largest exporters of coal in the world. In 2020, the Indonesian Government started to deregulate the mining industry by removing some environmental controls.

(e) Explain **one** disadvantage of deregulation for a country such as Indonesia.

(3)

(f) Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram.

(3)

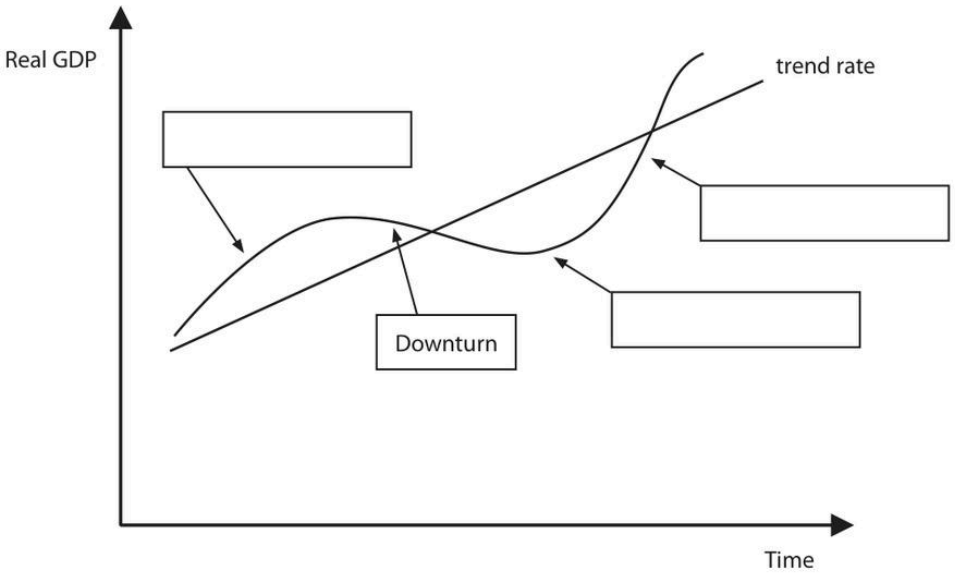


Figure 2

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8. Question 2 · part g · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

The local government in Alberta, Canada, is doubling its infrastructure budget for 2020–2021 to Canadian $1.9 bn to try to prevent job losses. Alberta had lost 117,000 jobs in March 2020, bringing the unemployment rate to 8.7%.

The additional funding will go towards repairing roads, bridges and upgrading technology in schools and universities.

(Source: https://edmontonjournal.com/news/politics/covid-19-jason-kenney-announces-infrastructure-spending-to-counter-job-losses/)

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada.

(9)

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8. Question 2 · part g · 9 marks

2022 JUN · Paper 02 (regional R)

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

8. Question 2 · part g · 9 marks · Working and answer

Working and answer

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

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4 Figure 4 shows the $618 bn spent by India on existing infrastructure projects in 2019.

Existing infrastructure projects	$bn
Renewable energy	200
Railways	147
Roads and highways	109
Metro rail	109
Smart cities	32
Airports and ports	21
Total	**618**

Figure 4

(Source adapted from: https://www.businessinsider.in/Nearly-half-of-Narendra-Modis-1-4-trillion-new-infrastructure-promise-may-be-already-approved-projects/Existing-promises/slideshow/68795905.cms)

(a) Calculate, to two decimal places, **the percentage** of spending on all existing infrastructure projects that was spent on renewable energy in India in 2019.
You are advised to show your working.

(2)

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

Figure 5 shows the average unemployment rate (%) in India between 2016 and April 2020.



Figure 5

(Source adapted from: https://www.statista.com/chart/20014/unemployment-rate-india/)

(b) With reference to the data above and your knowledge of economics, analyse the impact of rising unemployment rates on business confidence for a country such as India.

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.

The growth of India's gross domestic product (GDP) slowed to 4.5% in the quarter ending September 2019, the lowest point for 6 years. The fiscal deficit was 3.4% of GDP and was estimated to increase to 3.7% by 2020. This came at a time when the Prime Minister, Narendra Modi, announced plans to spend $1.5 trillion on infrastructure. The expenditure on these projects is expected to be 1.1% of GDP by 2025.

"Building new roads, rail links, airports and other social and economic infrastructure such as smart cities is essential for attracting investments and making India a $5 trillion economy," said Finance Minister Nirmala Sitharaman.

This spending on infrastructure will be a huge opportunity for Indian construction, road and cement companies such as GMR Group, Dilip Buildcon and Ultratech. Domestic steel prices are predicted to increase due to the higher demand from infrastructure projects.

Source adapted from: https://www.bloomberg.com/news/articles/2019-12-31/india-plans-1-5-trillion-infrastructure-spending-to-spur-growth

(c) With reference to the data above and your knowledge of economics, evaluate the effectiveness of spending on infrastructure to increase total output in a country such as India.

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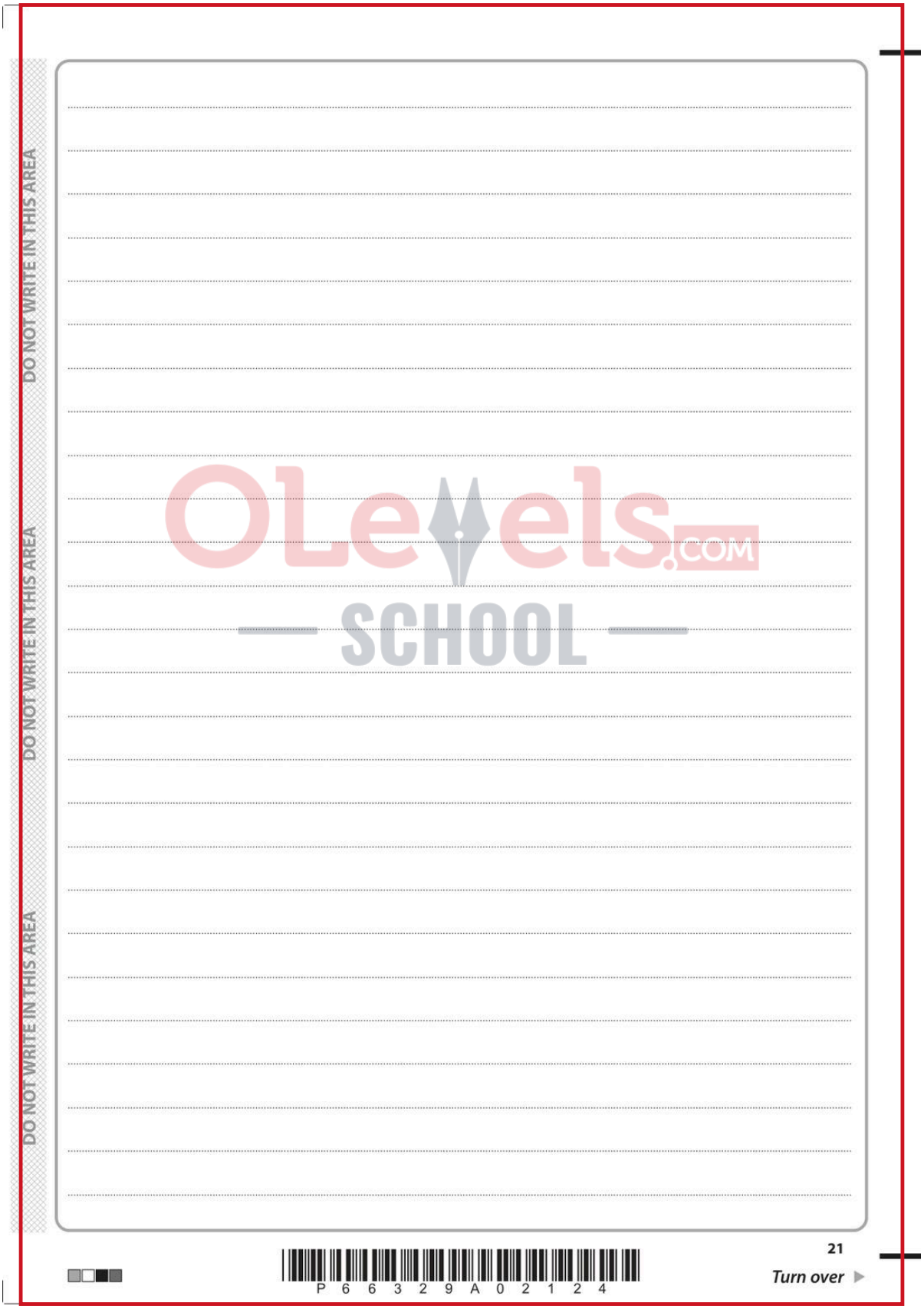
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9. Question 4 · part c · 12 marks

2022 JUN · Paper 02

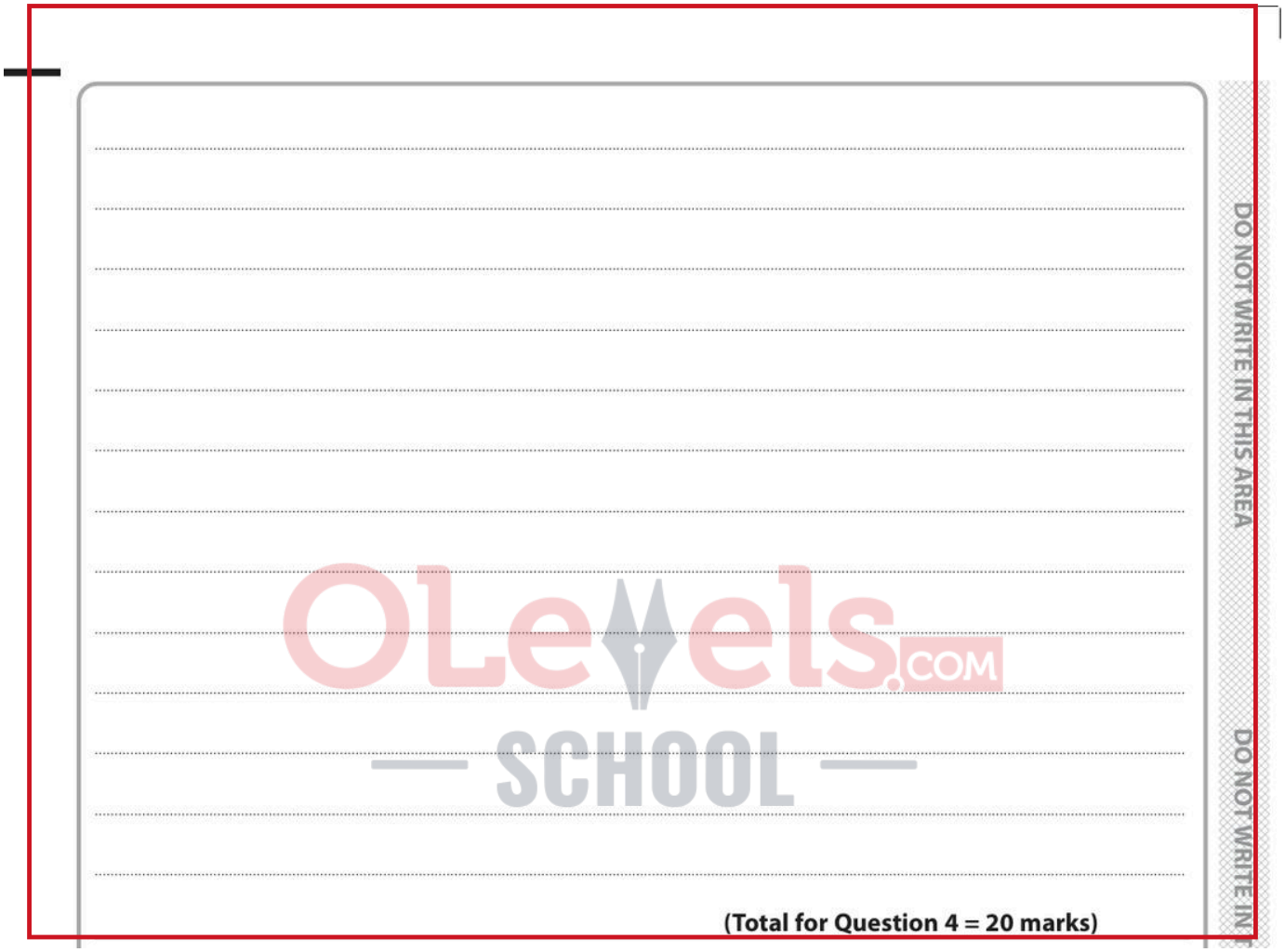
Further practice · Attempt part c only.



9. Question 4 · part c · 12 marks

2022 JUN · Paper 02

Further practice · Attempt part c only.



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9. Question 4 · part c · 12 marks · Working and answer

Working and answer

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10. Question 1 · part h · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

1 (a) What does the International Labour Organisation (ILO) measure?

(1)

- ☒ **A** Economic growth
- ☒ **B** Unemployment
- ☒ **C** Government spending
- ☒ **D** Inflation

(b) Which **one** of the following is considered to be a progressive tax in the UK?

(1)

- ☒ **A** Income tax
- ☒ **B** Value added tax (VAT)
- ☒ **C** Excise duties
- ☒ **D** Import tariff

(c) What is meant by the term deregulation?

(2)

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10. Question 1 · part h · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

(d) Describe **one** negative impact of economic growth.

(2)

(e) Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working.

(2)

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10. Question 1 · part h · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

In December 2020, the European Union (EU) decreased the 8% import tariff on lobsters from the US.

(f) Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

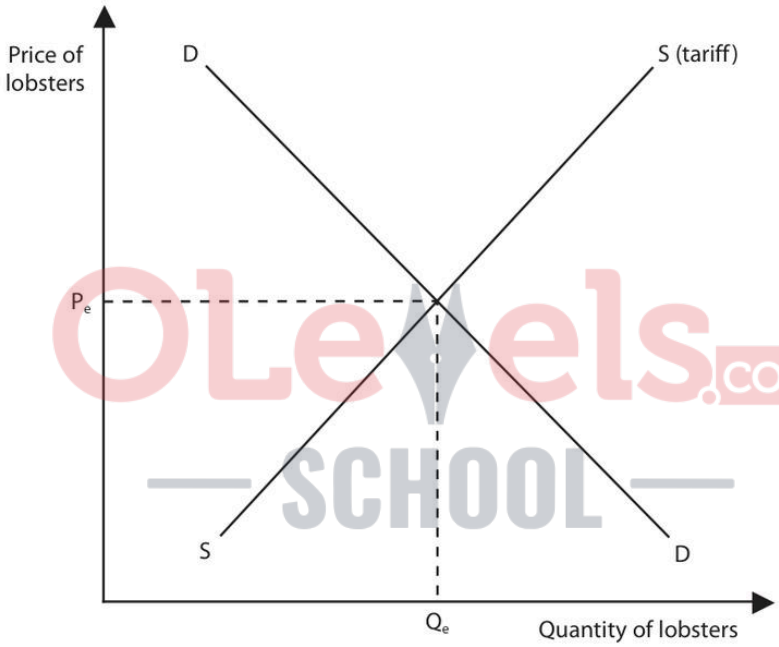


Figure 1

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P 7 1 5 5 8 A 0 4 2 4

10. Question 1 · part h · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

Mexico's annual inflation rate was 3.4% in 2020. The minimum wage was increased by 20% from 2019.

(g) Explain the impact of wages rising faster than inflation on a country such as Mexico.

(3)

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10. Question 1 · part h · 6 marks

2023 JAN · Paper 02 (regional R)

Further practice · Attempt part h only.

In 2020, the Vietnamese Government aimed to have an additional 1 million people working in the Information Technology (IT) sector. Unemployed workers were offered IT training courses in colleges and IT centres across Vietnam.

(h) Analyse the impact of education and training on the productive potential of a country such as Vietnam.

(6)

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(Total for Question 1 = 20 marks)

10. Question 1 · part h · 6 marks · Working and answer

Working and answer

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11. Question 1 · part b · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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11. Question 1 · part b · 1 mark · Working and answer

Working and answer

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12. Question 2 · part e · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

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2 (a) When a central bank buys government bonds from commercial banks it is known as

(1)

- ☒ **A** asset purchasing
- ☒ **B** privatisation
- ☒ **C** payment of interest
- ☒ **D** deregulation

The euro (€) is the currency used in Italy and the pound sterling (£) is the currency used in the UK.

(b) If the exchange rate changes from £1 = €1.20 to £1 = €1.10 then

(1)

- ☒ **A** UK pound sterling (£) has appreciated against the euro (€)
- ☒ **B** holidays in Italy will be cheaper for UK tourists
- ☒ **C** imports from Italy to the UK will be cheaper
- ☒ **D** UK exports to Italy will be cheaper

(c) State **one** possible trade-off with economic growth.

(1)

(d) What is meant by the term devaluation?

(2)

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P 7 4 0 5 9 R A 0 7 2 4

12. Question 2 · part e · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

US President Joe Biden recently signed a deal to fund 32,000 kilometres of new roads and 10,000 new bridges to improve the US infrastructure.

(e) Explain **one** way government spending on infrastructure can benefit an economy such as the US.

(3)

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P 7 4 0 5 9 R A 0 8 2 4

12. Question 2 · part e · 3 marks

2023 JUN · Paper 02 (regional R)

Further practice · Attempt part e only.

In 2021, the UK and Norway agreed to increase fishing quotas by 20% for 2022.

(f) Using the diagram below, draw the effects of the new quota on the equilibrium price and quantity of fish. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

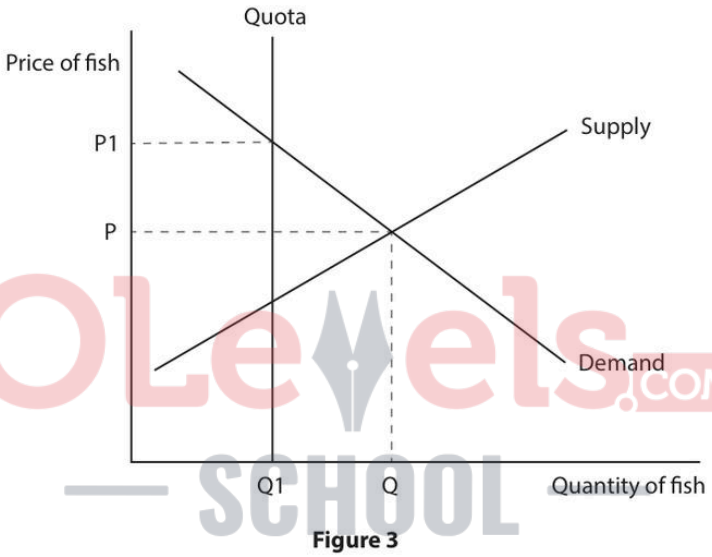


Figure 3

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12. Question 2 · part e · 3 marks · Working and answer

Working and answer

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13. Question 2 · part g · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

2 (a) Fiscal policy would involve a change in which **one** of the following?

(1)

- ☒ **A** Exchange rates
- ☒ **B** Interest rates
- ☒ **C** Production rates
- ☒ **D** Tax rates

(b) A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year?

(1)

- ☒ **A** €100
- ☒ **B** €2 500
- ☒ **C** €4 900
- ☒ **D** €5 100

(c) State **one** role of a central bank.

(1)

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(d) What is meant by the term current account surplus?

(2)

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13. Question 2 · part g · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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Erasmus is an organisation that provides education and training for young people in Europe. In 2020, it funded over 640,000 educational experiences.

(e) Explain **one** impact education and training may have on inequality and poverty.

(3)

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13. Question 2 · part g · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

In 2021, the Canadian Government introduced subsidies for the purchase of electric vehicles.

(f) Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

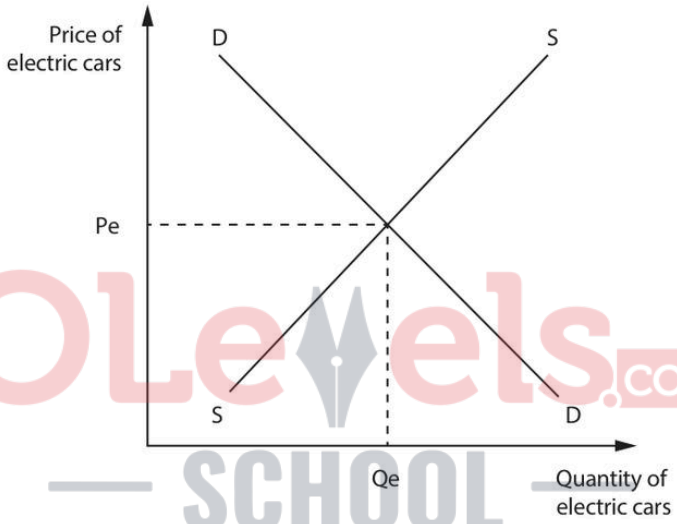


Figure 2

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13. Question 2 · part g · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

In 2022, the UK Government announced plans to spend over £130bn to improve the economic infrastructure of the country. This included £5.7bn for eight city regions in order to improve transport links between the cities. In addition, £5bn has been allocated to provide super-fast broadband in hard-to-reach areas of the UK.

(Source: https://www.gov.uk/government/news/levelling-up-boost-for-yorkshire-as-new-national-infrastructure-commission-site-announced-in-leeds)

(g) With reference to the data above and your knowledge of economics, assess the impact of infrastructure spending on the productive potential of a country such as the UK.

(9)

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P 7 4 0 5 8 R A 0 1 1 2 4

11

Turn over

13. Question 2 · part g · 9 marks

2023 JUN · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

13. Question 2 · part g · 9 marks · Working and answer

Working and answer

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14. Question 2 · part g · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

2 (a) What is the main reason for a government to devalue its currency?

(1)

- ☒ **A** To increase the demand for its exports
- ☒ **B** To decrease the demand for its exports
- ☒ **C** To increase the demand for imports
- ☒ **D** To decrease foreign investment

(b) Which **one** of the following is the most likely reason for increased globalisation?

(1)

- ☒ **A** An increase in tariffs and quotas
- ☒ **B** An increase in the cost of transport
- ☒ **C** An increase in the significance of MNCs
- ☒ **D** An increase in the cost of communication

(c) State **one** possible macroeconomic objective for a government.

(1)

(d) What is meant by the term seasonal unemployment?

(2)

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14. Question 2 · part g · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

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In 2022, Vietnam's economy grew by 8.02%, exceeding its annual target of 6.5%.

(e) Explain **one** reason why rapid economic growth may be harmful for an economy such as Vietnam.

(3)

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14. Question 2 · part g · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

Figure 2 shows the supply of and demand for UK pounds (£) in terms of US dollars ($) and the equilibrium exchange rate.

(f) Using the diagram below, draw the effect of an increase in UK exports to the US on the equilibrium exchange rate of the UK pound (£). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity.

(3)

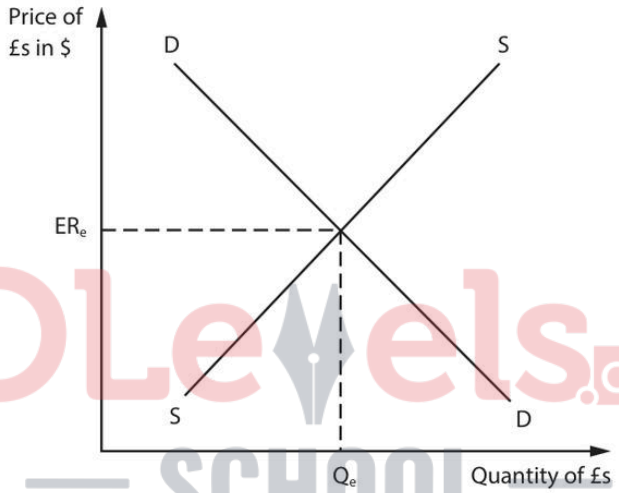


Figure 2

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14. Question 2 · part g · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

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In April 2023, the UK Government increased the business tax rate from 19% to 25%. The higher rate is expected to raise around £18bn in additional tax revenue per year. The change brings the UK's business tax rate to the same rate as other large economies.

Due to this tax change, Associated British Foods, the owner of Primark and other firms, is expected to pay an additional £20m in tax per year.

Business tax rates of major economies



Figure 3

(g) With reference to the data above and your knowledge of economics, assess the disadvantages of higher business tax rates on investment in a country such as the UK.

(9)

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14. Question 2 · part g · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.



14. Question 2 · part g · 9 marks

2023 NOV · Paper 02

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

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14. Question 2 · part g · 9 marks · Working and answer

Working and answer

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15. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

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4 Figure 5 shows the government revenue and expenditure for Canada in 2021–2022.

	Canadian dollars CAD$bn
Total revenue	38.815
Total expenditure	35.897

Figure 5

(a) Calculate the **fiscal deficit or surplus** in CAD$bn for Canada in 2021–2022.
You are advised to show your working.

(2)

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15. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

In April 2023, the inflation rate in Canada fell to 5.2%. The Governor of the Bank of Canada, Tiff Macklem, said, "Interest rates may have to stay at 4.5% to ensure inflation declines to the Bank of Canada's 2% target".

(b) With reference to the data above and your knowledge of economics, analyse the relationship between inflation and interest rates for a country such as Canada.

(6)

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15. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

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15. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.

In March 2023, the unemployment rate in Canada stayed at 5% for the fourth consecutive month. There are one million job vacancies and the country is suffering from structural unemployment. A quarter of these job vacancies are for low skilled jobs.

To address these skills shortages, the Canadian Government is launching several new education and training programmes.

- **Skills for success**: Helping Canadians at all ability levels improve their foundation and transferable skills, such as digital skills.
- **Financial support for adult learners**: $815m over five years which covers up to 50% of training fees.
- **Labour mobility improvements**: $595m over six years to make it more affordable to travel to where the jobs are.

(c) With reference to the data above and your knowledge of economics, evaluate the possible advantages of using education and training to reduce structural unemployment for a country such as Canada.

(12)

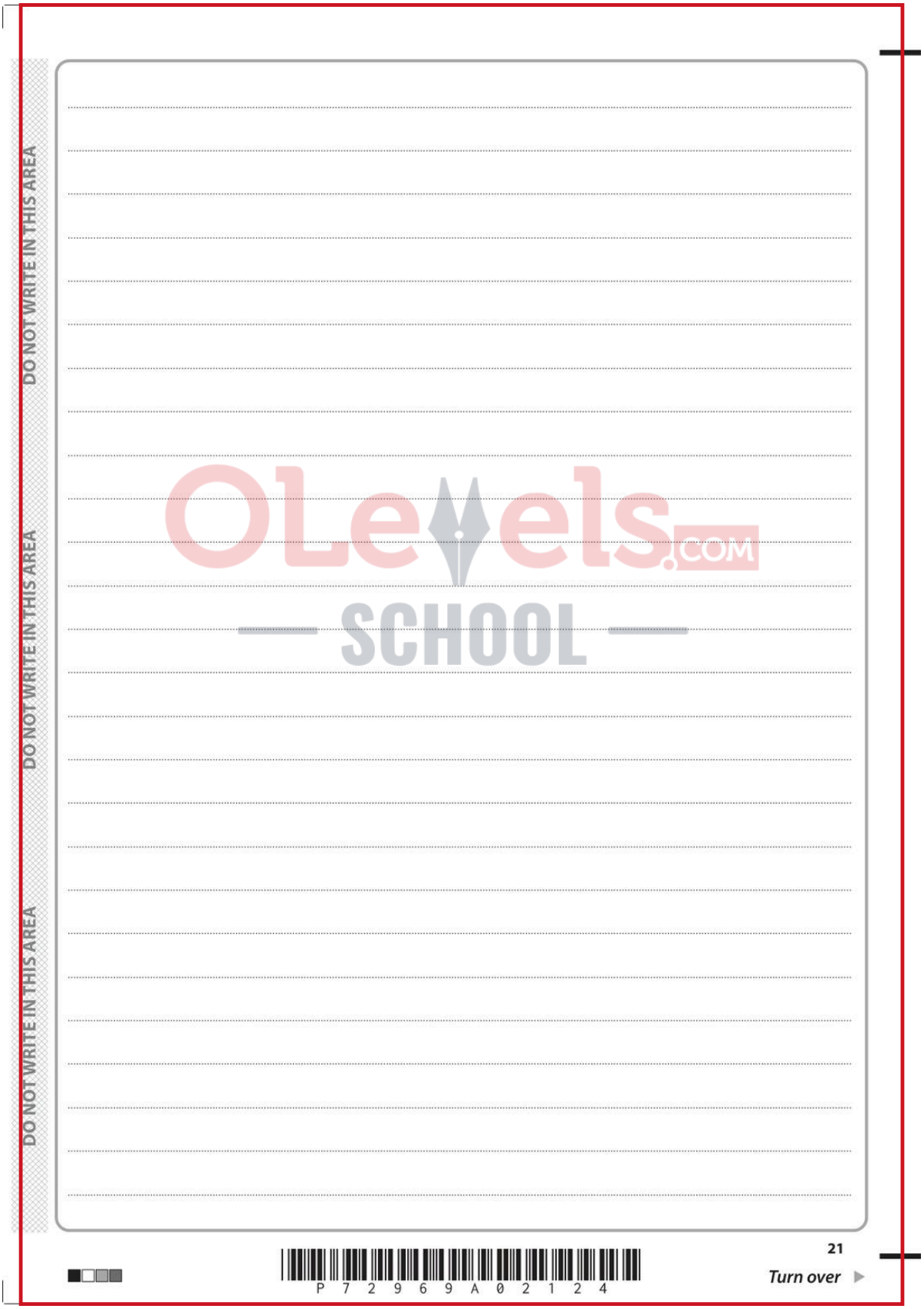
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15. Question 4 · part c · 12 marks

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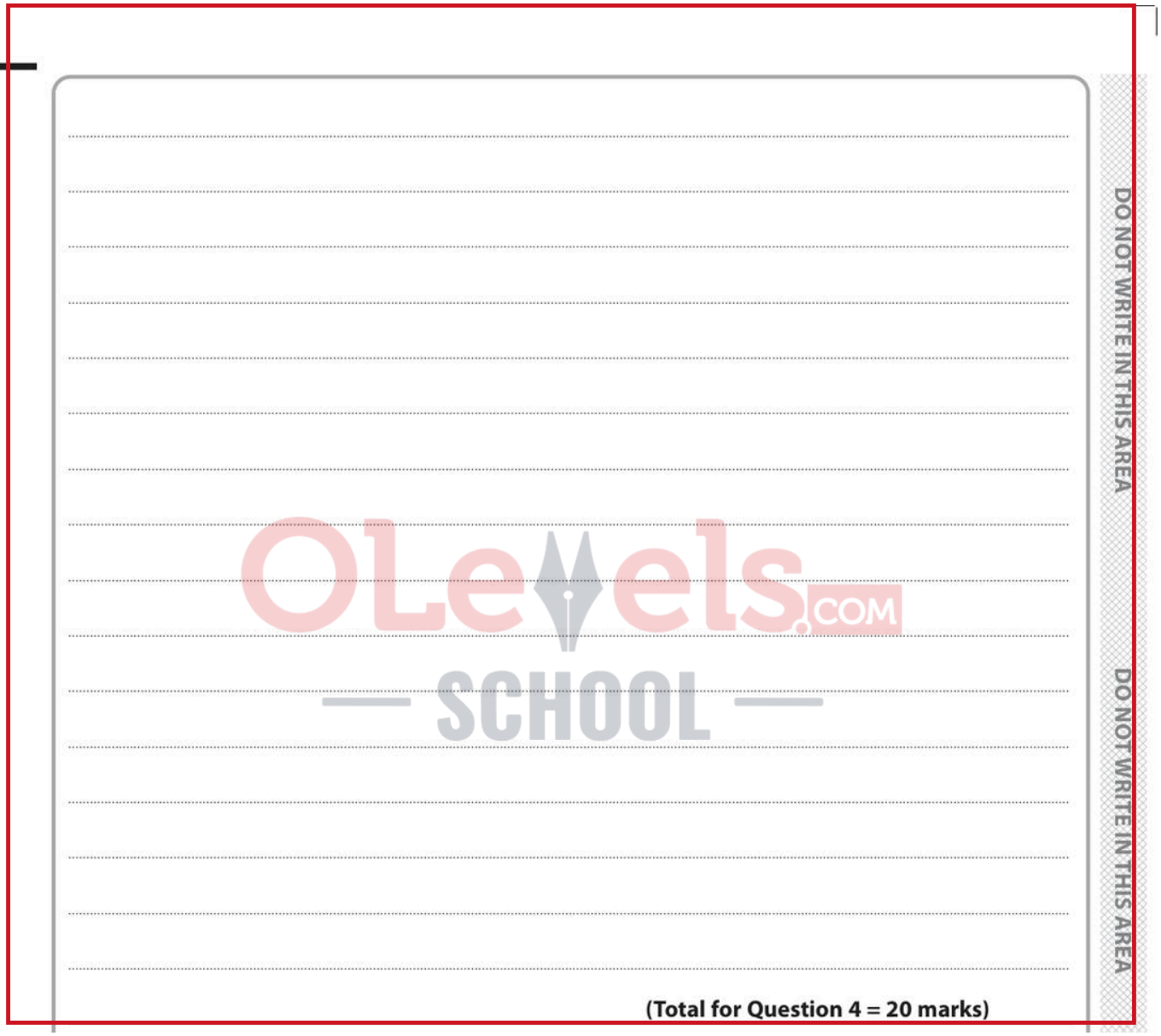
Further practice · Attempt part c only.



15. Question 4 · part c · 12 marks

2024 JUN · Paper 02

Further practice · Attempt part c only.



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15. Question 4 · part c · 12 marks · Working and answer

Working and answer

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16. Question 3 · part c · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

3 (a) Which **one** of the following is an advantage of a government giving subsidies to domestic producers?

(1)

- ☒ **A** Reduces government spending
- ☒ **B** Increases imports from other countries
- ☒ **C** Increases production of goods and services
- ☒ **D** Reduces trade disputes

The price of a basket of goods and services was £1 200. The consumer price index (CPI) increased from 120 to 130.

(b) Calculate the new price of the basket of goods and services.

(1)

- ☒ **A** £1 210
- ☒ **B** £1 300
- ☒ **C** £1 330
- ☒ **D** £1 450

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16. Question 3 · part c · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

In March 2023, as part of its supply-side policy, the Italian Government announced business taxes would be reduced from 27% to 24% in January 2024.

(c) Explain the likely impact on productivity of this change in business taxes for a country such as Italy.

(3)

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16. Question 3 · part c · 3 marks

2024 NOV · Paper 02

Further practice · Attempt part c only.

The Clean Air Act (CAA) is an important regulation that sets standards for air quality in the US. The CAA regulates emissions from cars, trucks and buses.

(d) With reference to the data above and your knowledge of economics, analyse how regulations can help to protect the environment in a country such as the US.

(6)

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16. Question 3 · part c · 3 marks · Working and answer

Working and answer

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

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3 (a) Which **one** of the following is an advantage of pollution permits?

(1)

- ☒ **A** They encourage unlimited industrial emissions
- ☒ **B** They reduce overall pollution by setting emission limits
- ☒ **C** They allow firms to ignore environmental regulations
- ☒ **D** They discourage investment in green technologies

An economy has a national output of €300bn and its current account deficit is €15bn.

(b) What is the current account deficit as a percentage of national output?

(1)

- ☒ **A** 0.05%
- ☒ **B** 2.85%
- ☒ **C** 5%
- ☒ **D** 20%

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

Data from China revealed that the unemployment rate for young people aged 16 to 24 was 14.9% in December 2023. The number of new graduates significantly exceeded the available jobs, most of which were in lower-skilled sectors.

(c) Explain **one** reason why some people might suffer from structural unemployment in a country such as China.

(3)

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

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Owners of small firms in the UK are very unhappy with another rise in inflation. The consumer price index (CPI) increased from 3.9% in November to 4% in December 2023.

(d) With reference to the data above and your knowledge of economics, analyse the possible impact of rising inflation on menu costs for small firms in the UK.

(6)

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.

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In 2025, the Government of Italy is to reduce income tax rates for some income tax payers. The higher rate of income tax is to remain the same. The Italian Treasury said that the scheme is 'aimed at simplifying and reducing the tax burden, encouraging investment and recruitment'.

	2024	2025
Up to €8 500	0%	0%
€8 501–€28 000	25%	23%
€28 001–€50 000	35%	33%
€50 001+	43%	43%

Figure 4

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(e) With reference to the data above and your knowledge of economics, assess whether lower income tax rates will encourage more people to work in a country such as Italy.

(9)

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17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

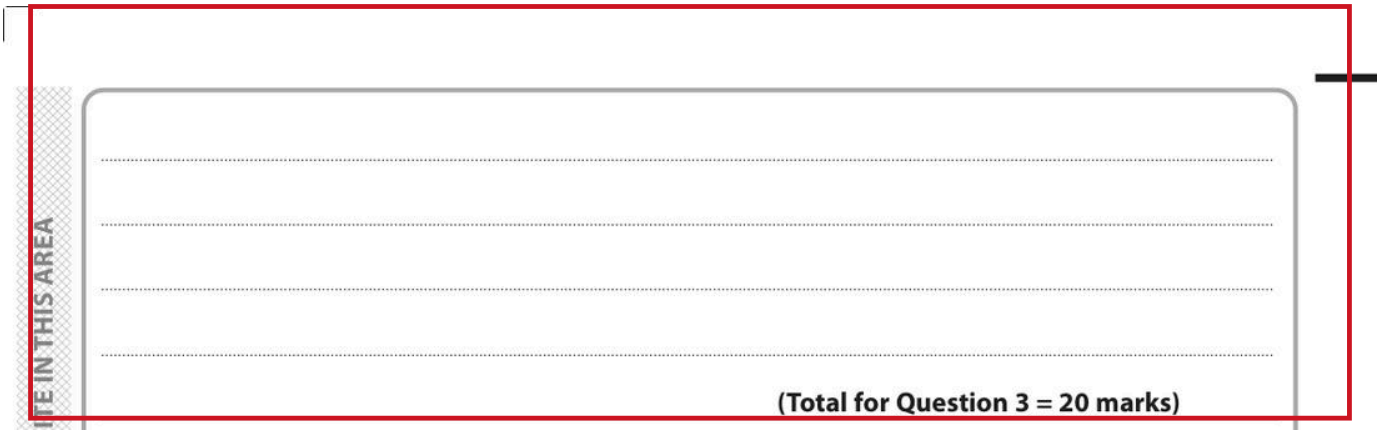
Further practice · Attempt part e only.



17. Question 3 · part e · 9 marks

2025 JUN · Paper 02

Further practice · Attempt part e only.



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17. Question 3 · part e · 9 marks · Working and answer

Working and answer

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18. Question 1 · part b · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part b only.

1 (a) Which **one** of the following best defines deflation?

(1)

- ☒ **A** A continuous rise in the general price level of goods and services
- ☒ **B** A situation where the economy grows rapidly
- ☒ **C** A decrease in the general price level of goods and services over time
- ☒ **D** A period of very low economic activity and high unemployment

(b) Which **one** of the following is an example of a supply-side policy?

(1)

- ☒ **A** Investing in education and training
- ☒ **B** Asset purchasing by a central bank
- ☒ **C** Increasing taxes on high-income earners
- ☒ **D** Increasing the interest rate

(c) What is meant by the term demand-pull inflation?

(2)

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18. Question 1 · part b · 1 mark · Working and answer

Working and answer

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